



founder means that you cannot profit directly from the net earnings of the business, although you will be entitled to a salary for your work. While the business's income can come from selling goods or services, you may also be able to fund-raise via donations, sponsorships, and grants. Some nonprofit enterprises, especially charities, may also be able to apply for tax benefits.

Businesses that profess to have ethical dimensions are likely to face scrutiny from both the public and official bodies, so you will need a clear mission statement (see pp.24–25). You must be transparent and accountable, exercise good governance, and keep accurate

records. You will also need to develop excellent PR (public relations) to help sustain funding.

Different... but similar

Although its focus is different, a nonprofit organization will often use similar business strategies and management techniques as those found in “for-profit” businesses. Even those that rely heavily on volunteers will usually need to hire some paid staff and employ similar promotional techniques to those used by commercial enterprises. Like them, the aim of your business is still to make money, but your objective is to channel it into your chosen charitable or social cause.



NEED TO KNOW

- › **Governance** is how a governing body oversees and manages the way an organization functions.
- › **Mission statement** refers to the formal expression of the aims and values of a business.
- › **Nonprofit or not-for-profit** are terms denoting enterprises not primarily focused on profit. The two are often synonymous but in the US are distinct in terms of tax, governance, and functions.
- › **Social entrepreneurs** are people who set up businesses in order to help solve social problems or bring about social change.



Social enterprises

If you set up a social enterprise, your main aim will be to promote social change. This could involve tackling social problems, improving people's life chances, providing training and employment opportunities, supporting communities, and helping protect the environment. Your business will do this using the profits earned by trading.

Examples of social enterprises could include a magazine whose profits go to help the homeless, a café that provides work opportunities for the long-term unemployed, a business promoting recycling, or a gardening service that improves green spaces in the neighborhood.

Although the exact definition differs between countries, here are some key aspects likely to mark your business as a social enterprise:

- › **Mission** Whether social or environmental, your mission must be clearly set out in your governing documents.
- › **Independence** Your business is independently owned.
- › **Income** Your business earns the majority of its income through trading—or is clearly working toward this aim.
- › **Operation** Your business is run entirely in the interests of your social mission.
- › **Profits** You reinvest or give away the majority of your profits or surpluses to support your mission.
- › **Transparency** You are open about how the business operates and the impact it has.



Charities

To be granted charity status to raise funds for your chosen cause, your business will have to meet strict criteria. It can be set up as a trust, corporation, or association, but all resources must be geared toward its charitable goals.

- › **Your cause** You will typically be required by law to devote a specific percentage of income to your charitable cause.
- › **Remaining funds** Anything left over can be used to pay for administrative costs.
- › **Associated ventures** Any thrift shops and other business activities that support your charity may have to be part of a separate trading business, such as a social enterprise.